

The European Defence Union: A Simple Rebranding, or the Creation of a NATO Rival?

Executive Summary

- The President of the European Commission has announced the establishment of a project group on a defence union.
- In practice, this means that Commissioner Andrius Kubilius will be in charge of EU policy-making towards the establishment of said union.
- This would entail efforts towards the creation of a single defence market, increasing joint procurement and military mobility.

On the 7th of January the EU announced its desire to set up a working group on a Defence Union. While this news did not gather a lot of attention, it is more ambitious than one might think. Firstly, the use of the term “defence union” is quite rare in official EU language; until then it had primarily been used by various think tanks and academics, while the EU preferred speaking of common defence or common strategy. Secondly, the project is led by the High Representative for the Union for External Affairs and Security Policy (HR/VP) and the Commissioner for Defence Industry and Space. While having the highest level of EU officials at the head of [working groups](#) is expected, in this case they both belong to parties affiliated with liberal and pro-European ideals. Indeed the new HR/VP is Kaja Kallas, the former Estonian Prime Minister and member of the Reform Party, and the new commissioner for Defence Industry and Space is Andrius Kubilius, a member of the Lithuanian Christian Democrats. Both have publicly expressed support for [advanced cooperation in defence](#), which gives this project all the more credibility.

A European Defence Union at this stage means three key advancements, all of which would take place within the institutional structure of the Union. It would imply both the continuation of current efforts on joint procurement and military mobility, but would also lead to a more ambitious and controversial proposition: the creation of a single defence market.

The Establishment of a Single Defence Market

European countries, like most other nations, are “[regulatory security states](#),” which means their capacity to produce military hardware is dependent on their relations with the firms that participate in their national defence market. States create rules constraining their defence sector, particularly regarding exports and intellectual property, to make sure firms only supply their domestic forces or their allies. The proposition of making a single European defence market consists, in practice, of assuring free market principles inside this very protected industry. The advantages are evident: the free market principle will allow European states to purchase the military goods of other member states without restrictions or tariffs, giving them access to equipment of better quality for a lower price. For the biggest European defence firms like Thales and Leonardo, this means greater market share, while less competitive firms will likely lose market share. Any move towards the establishment of this



market is controversial because it affects a core component of a state's sovereignty, impacting its capacity to defend itself by creating a reliance on external actors for its defensive capabilities.

Facilitating Military Mobility

In this context, military mobility is a term used to designate European efforts to facilitate the movement of troops within [the EU and allies](#) in the event of a war. In the EU, it is referred to as a form of "[military Schengen](#)." Most of the current mobility coordination efforts take place under the PESCO (Permanent Structured Cooperation) structure, and face very little political opposition. Indeed, while defence remains a topic which states perceive to be their exclusive competence, in practice improving military mobility generally means the reduction of bureaucratic barriers which prevent the movement of troops or the construction of vital infrastructure, which is often done with EU funds.

Developing Joint-Procurement

The objective of facilitating joint-procurement is years in the making. The concept is simple: member states coordinate on the EU level to merge their demands for military material, giving them greater bargaining power to obtain cheaper unit pricing due to the greater size of their purchase. Currently, joint procurement is relatively undisputed as it remains overwhelmingly beneficial. However, future efforts will be challenged by the desire of some member states to prioritise [trade relations with the US](#), especially Poland, Italy and Norway.

Recommendations and Conclusion

Only one of the stated objectives for the establishment of a Defence Union, the creation of a single defence market, is truly novel or likely to face concerted resistance. Indeed, creating a single defence market is bound to unequally benefit western European multinational defence corporations, which will be able to gain privileged access to the eastern market where their size will be an advantage against smaller firms. For eastern member states, this move will grant them access to defence material of greater quality, at the price of their status as regulatory security states, but at the cost of sacrificing part of their domestic industry. As a whole, the creation of this working group on a potential European Defence Union sends a clear message on the ambitions of the European Union. Both the war in Ukraine and the uncertainty surrounding NATO are clear causal factors in the EU's trend towards becoming the central actor in the continent's security.



About the Author

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Alexandre Doré joined London Politica's Europe Desk in 2024. He is currently pursuing a master's degree in European and International Politics and Policy at the LSE. He holds a first-class bachelor's degree in International Relations from King's College London. Alexandre has previous experience in policy-making in France and for various non-governmental organisations. He specialises in the European Union, particularly in EU foreign policy and defence matters. His work on European defence has previously been published in the Future Europe Journal.